

Making and Negotiating the Purchase

Once you've found the house you want to buy, the next step is to make a bid. The bid will include the amount you are willing to pay for the house, the amount you will need to finance, and the time frame needed for the purchase. It would be wise to prequalify for the mortgage amount you feel you will need for the purchase so that the seller knows you will most likely get the financing you require.

Should the seller agree to the terms of the bid, the formal contract process will begin. It is common practice at this point for the prospective buyer to arrange for a home inspection of the premises from a qualified home engineer. This way you can determine if the "guts of the place" are sound (the heating, electrical and plumbing systems, the foundation, roofs, walls, ceilings, etc.). It would be wise to accompany the home engineer on the inspection so that you can ask whether certain problems are due to normal wear and tear or are serious problems that the seller must address in the contract of sale.

The real estate contract should contain a few standard clauses, such as a list of whether certain items (window treatments, lighting fixtures, wall to wall carpeting, air conditioning units) are to remain on the premises after closing. In addition, the contract should contain confirmation that the heating, electrical, and plumbing systems, as well as all appliances, will be in working order for closing. All contracts should be conditioned upon two things: your ability to secure a specific amount of financing within a predetermined time period and the seller's ability to deliver a marketable title.

There is also the matter of the down payment that must be paid to the seller's attorney. Such an amount will be held in an escrow account until the closing and the title is delivered to the home buyer. Should you fail to secure the financing through no fault of your own or the seller fails to deliver a marketable title, then the down payment should be returned to you. The amount of the down payment can be negotiated. Historically, 10 percent of the purchase price was common, but with today's real estate prices, you might be able to negotiate this number down.